

Estimates of the Value per Statistical Life

The HHS *Guidelines* discuss an approach to valuing mortality risk reductions based on estimates of individual willingness to pay, commonly referred to as the value per statistical life. HHS's VSL estimates are based on a criteria-driven literature review commissioned by ASPE to identify values that are suitable for use in its regulatory impact analyses.⁴ The *Guidelines* and an appendix published subsequently⁵ provide background information on the VSL estimates, including technical guidance on applying the estimates and the process for updating these values.

The VSL estimates reported in the literature review correspond to a 2013 base year.⁶ We update these values to a 2023 base year by adjusting for inflation⁷ and changes in real income.⁸ These adjustments increase the VSL estimates in nominal terms by about 44% compared to 2013. From the 2023 base-year VSL estimates, we report estimates for 2024 and future years. These estimates increase over time in real terms, consistent with a long-term annual growth rate for real earnings of 1.0%⁹ and an assumption that the VSL income elasticity is 1.0. For mortality risk changes occurring in 2024, we adopt \$6.1 million, \$13.1 million, and \$19.9 million for the low, central, and high estimates of VSL, respectively. For impacts in other years, including the base year, please refer to Table 1 or the unrounded estimates available in a supplemental table to this Data Point.

Table 1. VSL Estimates by Year (constant 2023 dollars)

Year	Low Estimate	Central Estimate	High Estimate
2023	\$6.1 million	\$13.0 million	\$19.7 million
2024	\$6.1 million	\$13.1 million	\$19.9 million
2025	\$6.2 million	\$13.2 million	\$20.1 million
2026	\$6.2 million	\$13.4 million	\$20.3 million
2027	\$6.3 million	\$13.5 million	\$20.6 million
2028	\$6.4 million	\$13.6 million	\$20.8 million
2029	\$6.4 million	\$13.8 million	\$21.0 million
2030	\$6.5 million	\$13.9 million	\$21.2 million
2031	\$6.6 million	\$14.0 million	\$21.4 million
2032	\$6.6 million	\$14.2 million	\$21.6 million
2033	\$6.7 million	\$14.3 million	\$21.8 million

⁴ Robinson, L.A. and Hammitt, J.K., 2016. "Valuing reductions in fatal illness risks: Implications of recent research." *Health Economics*, 25(8), pp. 1039-1052.

⁵ U.S. Department of Health and Human Services, Office of the Assistant Secretary for Planning and Evaluation. 2021. "Appendix D: Updating Value per Statistical Life (VSL) Estimates for Inflation and Changes in Real Income." <https://aspe.hhs.gov/reports/updating-vsl-estimates>.

⁶ The literature review provides population-average values in 2013 dollars at 2013 income levels, which range from \$4.2 million to \$13.7 million with a mid-point of \$9.0 million. HHS uses these values as the basis of its low, high, and central VSL estimates, respectively.

⁷ U.S. Bureau of Labor Statistics. CPI for all Urban Consumers (CPI-U), Not Seasonally Adjusted, <https://data.bls.gov/timeseries/CUUR0000SA0>. Annual figures for 2013 to 2023. Accessed January 11, 2024.

⁸ U.S. Bureau of Labor Statistics. Weekly and hourly earnings data from the Current Population Survey, Not Seasonally Adjusted. <https://data.bls.gov/timeseries/LEU0252881600>. Annual figures for 2013 to 2023. Accessed January 18, 2024.

⁹ Congressional Budget Office. June 2023. "The 2023 Long-Term Budget Outlook." Table C-1. Average Annual Values for Additional Economic Variables That Underlie CBO's Extended Baseline Projections: Growth of Real Earnings per Worker, Overall, 2023-2053. <https://www.cbo.gov/publication/59014>.